Skills

# Advanced Assurance



Sample Paper

2026

# SECTION 1 (50 marks)

**Mason Aviation Plc**

You are the audit manager on the audit of the financial statements of Mason Aviation Plc (Mason) for the year ended 30 April 20X3.

Mason is an aviation engine research, development and manufacturing company whose customers comprise both major airlines and other aeronautic manufacturers. The company operates from its headquarters in Coventry, England but attracts worldwide clients.

The company is fully licensed and has been operating successfully for 19 years. The company was listed on the FTSE 350 six years ago and this is the fifth year that your firm has acted as external auditor for Mason.

As part of the year-end audit fieldwork, you are reviewing the list of subsequent events from Jeanine Francis, Mason's finance director.

Simon has asked you to evaluate whether or not these subsequent events are adjusting events. He also wants you to consider what additional audit evidence, if any, would be required for each of these matters. Furthermore, he has also asked you to analyse, for each matter, the impact on the audit report in the event that the additional audit evidence gathered does not resolve the matter satisfactorily and recommend the appropriate type of audit opinion to be issued. Simon noted that he has confirmed that the damage to the building detailed in Appendix 1 is not material. Additionally, he will consider if any of the events constitute key audit matters so you do not need to consider this as part of your work.

Overall materiality has been set at £895,000. Mason's profit before income taxes is £17.9 million and the company had net assets of £220 million as at 30 April 20X3.

Simon mentioned that the firm expects to be reappointed as auditors for the year ending 30 April 20X4. In advance of this being confirmed by Mason's shareholders, he has asked you to evaluate any continuance risks that require consideration. He has asked you to refer to any points arising from your review of the subsequent events and his notes from a further meeting with Jeanine and Emily Clarke, Mason's operations director (Appendix 2).

Simon has also requested that you analyse if any of the specific points mentioned in the information provided are required to be reported to those charged with governance.

**QUESTIONS:**

**Question 1**

- Using Appendix 1, evaluate the subsequent events and conclude whether or not each would be an adjusting event.

**(9 marks)**

**Question 2**

- Consider what, if any, additional audit evidence would be required for any of the material subsequent events.

**(10 marks)**

**Question 3**

- For each material subsequent event analyse the impact on the audit report in the event that the additional audit evidence gathered does not resolve the matter satisfactorily
- and recommend the appropriate type of audit opinion to be issued.

**(11 marks)**

**Question 4**

- Evaluate any continuance risks arising as a result of your audit firm's planned continuance as auditor of Mason for the year ending 30 April 20X4.

**(12 marks)**

**Question 5**

- Analyse, with reasons, which specific points from the information provided in Appendix 1 and Appendix 2 are required to be reported to those charged with governance.

**(8 marks)**

**(Total: 50 marks)**

**APPENDIX 1 (Section 1)**

**List of subsequent events provided by Jeanine Francis, finance director of Mason as at 2 June 20X3**

- **Fire at company headquarters**

In May 20X3 there was a fire at the company's headquarters after the building was struck by lightning. The damage to the actual building is minimal and this is covered by Mason's insurance policy.

However, the fire occurred within a room that stored research and development records for intangible assets with a carrying amount of £90m.

It was detected that the server that backed up the research and development records was corrupted and had not been saving files on the back up cloud server. An IT specialist has now confirmed that it is unlikely that the records will be recovered. Mason are aware that the audit team has asked to see supporting evidence for a number of our intangible assets, but we expect that you will understand that, due to this issue, we cannot provide this information at this time.

- **Future production impacted by cancelled contract**

Notice was received by Mason in early May 20X3 that a project to produce a revolutionary light aircraft engine will no longer go ahead because the aircraft manufacturer, Cloudlight Solutions Limited (Cloudlight), has detected a defect with their engine design making production of the engine unfeasible. As a result, future planned production of this engine has been cancelled completely.

Mason has invested £1,280,000 in specialised equipment to produce this engine. This equipment is not applicable to our current production requirements. Cloudlight had highlighted in March 20X3 that there was potential for the project to be cancelled due to the design defect and, consequently, Mason entered into preliminary discussions with another company, Lightflyer Ltd, on the possibility of producing a new product for them later this year. They are working on a project very similar to that of Cloudlight but are further behind in the process due to their rigorous research testing regime. Due to this proposed future use, no adjustments have been made to the financial statements for this matter. No engines had been produced for Cloudlight.

- **Employee court case**

On 1 June 20X3 a former employee was awarded £550,000 in compensation for unfair dismissal in January 20X3.

It has been agreed that Mason will not appeal the decision and the compensation payment has been made.

**APPENDIX 2 (Section 1)**

**Notes from meeting with Jeanine Francis and Emily Clarke held on 3 June 20X3**

Mason continues to be very impressed with the dedication shown by the audit team, in particular Simon who has been the audit partner since the firm accepted Mason as a client.

Replaced member of the audit team

Simon offered his apologies for an unfortunate breach of the firm's client management policies as it had been discovered that a junior member of the audit team had been in a relationship with Mason's payroll manager. The employee was immediately replaced on the audit engagement, with any work already completed being reperformed by another member of the audit team.

Project Stratosphere

Mason has completed the set-up of a subsidiary company in the US in May 20X3 to record the transactions associated with the future development of a new project. This subsidiary is wholly owned by Mason and will convert its financial statements from US GAAP to IFRS before being consolidated within Mason's financial statements.

Mason would like the audit of this subsidiary to be included in the audit engagement for the year ending 30 April 20X4. However, Jeanine did not expect that this will require significant additional audit work in 20X3-24 and therefore did not expect any significant increase in the overall audit fee.

**END OF SECTION**

# SECTION 2 (37 marks)

**Salmon Fish Processors Ltd**

You are the audit manager on the external audit of Salmon Fish Processors Ltd (Salmon) for the year ended 30 September 20X3. Salmon is an established audit client of your firm and you are planning the year end audit.

Salmon owns and operates salmon farms off the west coast of Scotland and processes these at its factory, near Fort William, northwest Scotland. The company's head office, finance, payroll and human resources functions are based in Stirling, central Scotland.

The company operates two main divisions:

- Farming: operates the hatcheries and fish farms; and
- Processing and distribution: processes the fish so they can be distributed and sold as salmon fillets, steaks and fish cakes under the branding 'The Yummiest Atlantic Salmon'. Salmon also fulfils contracts for supermarket own brands.

As part of the planning process to evaluate the risk of material misstatement as a result of fraud, your firm's data analytics team has extracted information from the general ledger and performed audit data analytic (ADA) routines over journals processed during the period from 1 October 20X2 to 31 May 20X3. Your audit partner has provided you with the output of these routines, including the routines used (Appendix 1) together with notes on Salmon processes for recording journals and other information relevant to your work (Appendix 2). Using this information he has asked you to evaluate the fraud risks at Salmon.

The board of directors of Salmon agreed, in June 20X2, to establish an internal audit department because of the company's continued growth and to improve its overall governance. The board was also keen to have some assurance over the processes and controls in place within its processing and distribution division which has been subject to several operational changes.

You have been asked to evaluate any weaknesses in the internal audit department and recommend any improvements that should be made. An overview of the department has been provided (Appendix 3) to allow you to complete your evaluation.

**QUESTIONS:**

**Question 6**

- Using Appendices 1 and 2, evaluate the fraud risks at Salmon Fish Processors Ltd.

**(22 marks)**

**Question 7**

- Using Appendix 3, evaluate any weaknesses in the internal audit department and recommend improvements.

**(15 marks)**

**(Total: 37 marks)**

**APPENDIX 1 (Section 2)**

**Outputs from ADA routine over journals processed in Salmon general ledger between 1 October 20X2 and 31 May 20X3**

| Ref | Date and Time | Value | Debit | Credit | Prepared by | Job title and system access level | Authorised by |
|---|---|---|---|---|---|---|---|
| A | 11/10/22 13:25 | £958 | Purchases | Trade payables | Alice Chung | Temp payables assistant (Employee) | |
| B | 23/12/22 11:06 | £133,212 | Wages | Bank | Charlie Young | Payroll assistant (Employee) | Finance director |
| C | 31/12/22 15:00 (W) | £47,492 | Accrued income | Revenue | Selena Murphy | Financial controller (Employee) | Financial controller |
| D | 1/1/23 16:22 (W) | £47,492 | Revenue | Accrued income | Selena Murphy | Financial controller (Employee) | Financial controller |
| E | 2/2/23 11:59 | £864 | Directors' travel | Bank | Trevor Taylor | Receivables assistant (Employee) | |
| F | 5/4/23 14:33 | £120,958 | Plant and equipment | Bank | William Jones | Payables assistant (Admin) | Finance director |
| G | 12/4/23 09:02 | £700 | Purchases | Trade payables | Alice Chung | Temp payables assistant (Employee) | |

The results of the ADA exercise were generated using the following routines:

a. Journals processed outside Salmon authorisation parameters or not authorised
b. Journals processed greater than performance materiality of £120,000
c. Journals posted outside normal working hours
d. Journals posted by senior management

Note: all users have been verified to HR records to confirm that they are valid employees of Salmon and that their job titles are accurate.

**APPENDIX 2 (Section 2)**

**Background information on Salmon journal processes and other relevant information**

Journal processes

The board of Salmon approved the following authorisation levels in October 20X2:

| **Transaction value up to** | **Authorisation by** |
|---|---|
| £1,000 | No authorisation needed unless by temporary staff member |
| £25,000 | Financial accountant |
| £50,000 | Financial controller |
| £50,001 and above | Finance director |

Most journals are generated manually by using a pre-numbered proforma. However, automatic journals are generated following the monthly payroll run with the payroll system automatically generating journal entries to the general ledger accounts.

Employees are provided with limited access to those areas of the general ledger applicable to their role. However, senior employees within the company's IT department are provided with Admin level access which allows access to all systems to configure any required software updates.

The normal working hours for employees are between 8am and 7pm Monday to Friday. Any journals posted at weekends are tagged by the system with a (W) for reference.

Other information

Salmon has a company-wide bonus scheme for permanent staff with bonuses paid based on the achievement of quarterly revenue and profit targets. The first payment was made in January 20X3 based on the results for quarter one.

The increased activity levels and retirement of some long serving finance team employees resulted in the recruitment of a temporary accounts receivable assistant and a temporary accounts payable assistant. Both temporary assistants left Salmon on 31 March 20X3.

**APPENDIX 3 (Section 2)**

**Background information on Salmon's internal audit department**

The internal audit department is led by Phyliss Campbell, head of internal audit who was recruited in July 20X2. Phyliss recently qualified as a CA in 20X2 having completed her training while working for the sales team for a national railway company. She was appointed in July 20X2 and has been responsible for appointing the two remaining members of the internal audit team. Based on the size of Salmon, three members were confirmed by management as being appropriate to complete the internal audit plan. The other two members of the team are as follows:

- Hannah Brown, recruited in August 20X2. She has experience of processing systems having spent several years within internal audit in a manufacturing company.
- Steve Black, CA, joined the team in October 20X2.

An internal audit plan for the period from 1 October 20X2 to 30 September 20X3 was created by Phyliss and approved by Salmon's audit committee. This plan was created following review of a number of concerns raised by Salmon's management over the company's operating activities and potential areas of significant risk. Phyliss noted that the internal audit work plan focuses on operations within Salmon's finance function.

Phyliss attends the quarterly meetings of Salmon's audit committee to report on the activities of internal audit. At the most recent meetings, in March and June 20X3, she was due to provide an update on internal audit's work, but was not called upon by the audit committee chairman to present.

**END OF SECTION**

# SECTION 3 (33 marks)

**Rose Medical Research Limited**

You are working within the assurance department of Thorn Accountants, a Scottish based accountancy firm, and have been assigned to work for the client Rose Medical Research Limited (Rose).

Rose is a medical research company linked to a large university in Scotland. It provides facilities to enable postgraduates to develop their medical research/doctorates into a commercially viable product.

Each individual research project receives funding from external sources as the period of development can be substantial before it becomes a saleable product. The external sources include pharmaceutical companies and charities.

As part of their commitment to quality, Rose's senior management team has approached your firm to request that they carry out testing over controls within its data management processes, for Rose's research projects. Senior management will then use the results to consider if controls are operating effectively and it is therefore not required for the firm to provide an opinion over the operating effectiveness of the controls as a whole. Details regarding the research project data management processes have been provided (Appendix 1).

Rose's management are keen to emphasise that they work with very tight budgets due to erratic cashflows and this piece of work, while efficient, must also be cost effective.

You have been asked by your manager to identify the most appropriate type of engagement for the requested work.

You have also been asked to design the tests of control that you would propose to carry out to test the controls within the research project data management processes should the engagement go ahead. Your manager has confirmed that all the controls listed within Appendix 1 are considered to be key controls.

As part of your firm's internal policies, you are required to highlight any ethical concerns that you identify to your engagement manager. You mentioned a recent email that you received from a junior member of the assurance team at Thorn Accountants regarding the upcoming work to your manager (extracts provided at Appendix 2) and your manager asked you to provide notes evaluating any of the relevant ethical issues highlighted in the email and explain any necessary safeguards to address the issue.

**QUESTIONS:**

**Question 8**

- Explain, with reasons, which type of engagement would be most suitable to complete the work requested by Rose.

**(8 marks)**

**Question 9**

- Design tests of control to perform on the research project data management processes as part of the chosen engagement.

**(20 marks)**

**Question 10**

- Evaluate the ethical issue identified from the email and explain any necessary safeguards.

**(5 marks)**

**(Total: 33 marks)**

**APPENDIX 1 (SECTION 3)**

**Data management process notes for research projects**

Stored data must be able to be verified as being of sufficient quality and integrity. This document outlines how data will be handled both during and after research and after the project is complete.

Adherence to these processes will ensure that data is well managed in the present and prepared for preservation in the future.

**1. Project overview**

All projects must complete a project overview form that details the work being undertaken. This must be reviewed and signed by the project director as complete. The overview form includes the following information:

- Research project title
- Lead project researcher's name
- Overview of the research being undertaken
- Names of all staff being employed by the project
- Funding source, length of funding and value of funding received. Relevant correspondence with the funding source must be attached to the project overview form
- Expected date of viable saleable project

**2. Data declaration form**

All members of each research project must familiarise themselves with and sign a project data declaration form. All signed forms are stored within a folder in the HR department.

Signing of the data declaration form confirms an understanding of:

- Relevant GDPR legislation
- Data security / privacy policy of Rose Medical Research Limited
- ISO 25012 – including the 15 aspects of data quality
- Retention time for data policy

**3. Data capture – format of data**

All projects must identify the file formats that will be used for each category of data. If the data is to be collected in one source and filed in another then it must be stated. This enables an estimate of sufficient data storage to be established for each project.

It is the responsibility of the lead project researcher to ensure all data is in an approved format for storage.

Examples:

- photographic images taken as .jpeg and stored as .tif
- data spreadsheets stored in a .csv format

Any data storage attempt in a non-approved format will be refused by the data system and the attempt logged in a format exception report.

**4. Data creation**

For each project, daily data findings are logged in a laboratory notebook and then copied into the individual research project summary spreadsheet. A different research team member will input this data digitally into the research database.

## 5. Data retention policy for research projects

Data must be kept in line with the research projects provisions within the company's data retention policy.

The project director will perform a quarterly review with each lead project researcher. They will discuss the relevance of all the data being held to the project team findings and whether the holding is in accordance with Rose's data retention policy. The findings from this review are documented and signed by both the project director and lead researcher before being logged in the research project file.

## 6. Data storage

Each research project has been allocated a storage capacity of 0.5TB. Additional capacity maybe granted by the IT team, if available, but must be requested directly by the lead project researcher through a 'data capacity' request form and approved by the IT manager.

## 7. Data access

The IT department will provide individual data access to the relevant research database based on the staffing information in the project overview form.

A monthly log is generated of any unauthorised login attempts to each research project database. A hard copy is sent to the project director for investigation who documents their findings within an investigation field within the log.

**APPENDIX 2 (Section 3)**

**Email from junior assurance assistant (Extracts)**

Good morning Assurance Senior,

Thanks for booking me for the upcoming work on Rose Medical Research Limited.

I am really excited to be involved in the work – my sister has recently started working in the finance team at Rose and so it will be fun to be able to discuss details of the engagement with her.

Looking forward to the planning meetings commencing.

Kind regards,

Assurance Junior

**END OF ASSESSMENT**